Reg. No									

St. Joseph's College of Arts & Science (Autonomous)
St. Joseph's College Road, Cuddalore – 607001

B.Com DEGREE EXAMINATION – APRIL 2021

CM616S - MANAGEMENT ACCOUNTING

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. Define Management accounting.
2. Give any two limitations of management accounting.
3. What do you understand by financial statement analysis?
4. List out the uses of ratio analysis.
5. Define fund flow statement.
6. Write a short note on cash flow statement.
7. Define Budgetary control.
8. What do you understand by Zero Base Budgeting?
9. What is meant by capital budgeting?
10. Mention any two objectives of capital budgeting.

SECTION - B (5x5=25)

Answer ALL Questions

11. a) Explain the scope of management accounting.

(or)

b) What are the functions of management accounting?

12. a) The following are the income statements of Jeevan Ltd., for the year ending 31st December 1999 and 1998. You are required to prepare a comparative incomes statement for the two years.

	-12-1998	-12-1999
	Rs.	Rs.
Net sales	0,00,000	2,00,000
Cost of goods sold	5,50,000	6,05,000
Operating expenses:		
Administration	80,000	1,00,000
Selling	60,000	80,000
Non-operating expenses:		
Interest	40,000	50,000
Income tax	50,000	80,000

(or)

b) You are given the following information:

	Rs.
Cash	18,000
Debtors	1,42,000
Closing stock	1,80,000
Bills Payable	27,000
Creditors	50,000
Outstanding expenses	15,000
Tax payable	75,000

Calculate (a) Current ratio (b) Liquid ratio (c) Absolute liquid ratio

13. a) Extracts from Balance Sheets:

Balance of P & L account: 31.3.93 Rs. 1,00,000
31.3.94 Rs. 1,50,000

Additional information:

i. Depreciation charged on assets	Rs. 10,000
ii. Preliminary expenses written off	Rs. 5,000
iii. Amount transferred to general reserve	Rs. 15,000
iv. A machine of book value Rs. 60,000 sold for	Rs. 65,000
v. Interim dividend paid	Rs. 10,000

Calculate funds from operation.

(or)

b) From the following Balance Sheets as on 31-12-93 and 31-12-92, prepare a cash flow statement:

Liabilities	*1992*	*1993*	*Assets*	*1992*	*1993*
are capital	1,50,000	1,00,000	ked assets	1,50,000	1,00,000
& L a/c	80,000	50,000	ock	40,000	50,000
neral reserve	40,000	30,000	odwill	80,000	30,000
% Debenture	60,000	50,000	btors	80,000	50,000
editors	40,000	30,000	R	20,000	30,000
tstanding exp	15,000	10,000	nk	15,000	10,000
	3,85,000	2,70,000		3,85,000	2,70,000

14. a) Parker Ltd. manufactures two brands of pen Hero & Zero. The sales department of the company has three departments in different areas of the country.

The sales budget for the year ending 31st December 2014 were. Hero- Department I 3,00,000; Department II 5,62,500; Department III 1,80,000 and Zero-Department I 4,00,000; Department II 6,00,000; Department III 20,000. Sales prices are Rs.3 and Rs.1.20 in all departments.

It is estimated that-by forced sales promotion that sales of 'Zero' in department I will increase by 1,75,000. It is also expected that by increasing production and arranging extensive advertisement, Department III will be enabled to increase the sales of 'Zero' by 50,000.

It is recognized that the estimated sales by Department II represent an unsatisfactory target. It is agreed to increase both estimates by 20%.

Prepare a Sales Budget for the year 2015.

(or)

b) From the following information, prepare cash budget for the period from January to April 2015:

Expected Sales: January - Rs. 1,20,000; February - Rs. 80,000; March - Rs. 90,000; April - Rs. 80,000;
Expected Purchases: January - Rs. 96,000; February - Rs. 90,000; March - Rs. 62,000; April - Rs. 80,000;
Wages to be paid to workers will be Rs. 10,000 per month. Cash balance on 1st January may be assumed to be Rs. 16,000.

15. a) Determine the pay-back period for a project which requires a cash outlay of Rs. 10,000 and generates cash inflows of Rs. 2,000; Rs. 4,000; Rs. 3,000; Rs. 2,000 in the first, second, third and fourth year respectively.

(or)

b) Project 'M' initially cost Rs. 50,000. It generates the following cash flows:

Year	Cash Flows (Rs.)	Present value of Re. 1 at 10%
1	18,000	0.909
2	16,000	0.826
3	14,000	0.751
4	12,000	0.683
5	10,000	0.621

Taking the cut-off rate as 10%, suggest whether the project should be accepted or not.

SECTION -C (3X10=30)

Answer any **THREE** Questions

16. Describe the various tools of management accounting.

17. From the following particulars, prepare balance sheet as at 31.12.78 with as many details as possible.

Gross profit ratio	=	20%
Inventory turnover	=	6 times
Fixed assets turnover	=	2 times
Current ratio	=	2.5:1
Acid-test ratio	=	1.5:1
Reserves to capital ratio	=	8:1
Sales	=	Rs.3,00,000
Cash	=	Rs.10,000
Stock on 1.1.78	=	Rs.30,000
Long-term loan	=	Rs.15,000

18. From the following Balance Sheet of XYZ Ltd., prepare a Funds flow Statement.

Balance Sheet

Liabilities	*2005*	*2006*	*Assets*	*2005*	*2006*
Equity Share capital	3,00,000	4,00,000	Goodwill	1,15,000	90,000
Preference Share capital	1,50,000	1,00,000	Buildings	2,00,000	1,70,000
General reserve	40,000	70,000	Plant	80,000	2,00,000
P&L a/c	30,000	48,000	Debtors	1,60,000	2,00,000
Proposed dividend	42,000	50,000	Stock	77,000	1,09,000
Creditors	55,000	83,000	Bills receivable	20,000	30,000
Bills payable	20,000	16,000	Cash in hand	15,000	10,000
Provision for taxation	40,000	50,000	Cash at bank	10,000	8,000
	6,77,000	8,17,000		6,77,000	8,17,000

Additional information:

a. Depreciation: Plant Rs. 10,000 and Buildings Rs. 20,000 charged in 2006.
b. An interim dividend of Rs. 20,000 has been paid in 2006.
c. Income tax Rs. 35,000 was paid during 2006.

19. Draw up a flexible budget for overhead expenses on the basis of the following data and determine the overhead rates at 70%, 80% and 90% capacity.

	At 70% Capacity (Rs.)	At 80% Capacity (Rs.)	At 90% Capacity (Rs.)
Variable overheads:			
Indirect labour	--	12,000	--
Stores including spares	--	4,000	--
Semi-variable overheads:			
Power (30% fixed, 70% variable)	--	20,000	--
Repairs & Maintenance	--	2,000	--
(60% fixed, 40% variable)	--	11,000	--
Fixed overheads:	--	3,000	--
Depreciation	--	10,000	--
Insurance			
Salaries			
Total Overheads		62,000	
Estimated direct labour hours		1,24,000 hrs	

20. A company is considering topurchase a machine. Two machines A and B are available each costing Rs. 5,00,000. In comparing the profitability if machine, a discount rate of 10% is to be used.

Earnings after taxation are expected to be as follows:

Year	Cash Flows (Rs.)	
	Machine A	Machine B
1	1,50,000	50,000
2	2,00,000	1,50,000
3	2,50,000	2,00,000
4	1,50,000	3,00,000
5	1,00,000	2,00,000

Discount Factor at 10% is:

Year	1	2	3	4	5
PV Re. 1	0.9091	0.8264	0.7513	0.6830	0.6209

You are required to indicate which of the machines would be profitable using the following methods of ranking investment proposals:

i. Pay-back method
ii. Net Present Value Method
iii. Return on Investment Method.

****